

Group2 Members: Ayuba Jimoh; Chunzhuo Li; Mingbo Sun ; Yuyao Wang.

Content

COMPANY OVERVIEW	2
INDUSTRY OVERVIEW.....	3
COMPANY FINANCIAL PERFORMANCE	4
VALUATION	6
SENSITIVITY AND SCENARIO ANALYSIS	9
RISKS AND LIMITATIONS	11
VALUATION SUMMARY AND CONCLUSION	12
APPENDIX 1 – MEAN REVERSION METHOD FOR UNREALIZED FAIR VALUE CHANGES	13
APPENDIX 2: VALUATION SUPPORT (DCF MODEL BASE CASE)	13
APPENDIX 3: DIVIDEND DISCOUNT MODEL METHODOLOGY	15
APPENDIX 4: COMPARABLE COMPANIES SELECTION METHODOLOGY.....	15
APPENDIX 5: EXTERNAL FACTORS (PESTLE ANALYSIS).....	16
APPENDIX 6: SWOT ANALYSIS	17
REFERENCES.....	17

Company Overview

Business Description and Operations

Founded in 2009 and based in Edmonton, Alberta, Canada. Capital Power Corporation (TSX: CPX) is a prominent independent power producer (IPP) active in the development, acquisition, ownership, and operation of power generation facilities in Canada and the United States. The company has a large operational presence in its home province of Alberta. It has diversified assets in Ontario and British Columbia as well as several states in the U.S., including Illinois, Alabama, Michigan, North Dakota, and Washington (**Figure 1**).

According to the recent financial report, the Capital Power portfolio comprises approximately 12 gigawatts (GW) of generation capacity, spread across 32 operating facilities in North America. The generation mix of the company is well balanced among thermal generations that mainly rely on efficient use of natural gas and renewable sources that include wind, solar, and battery storage. These diversified assets base facilitate the steady stream of cash and allow the company to seize opportunities in the current energy transition (**Figure 2**).

The mission of Capital Power is to deliver reliable, affordable, and cleaner electricity in response to the changing energy demands of North American consumers. The company's business strategy focuses on disciplined capital allocation, sustainability, and long-term shareholder value creation by expanding renewable assets and decarbonizing its current plant generation.

Management and Governance Structure

As of April 29, 2025, the Board consists of 10 Directors, of which 9 are independent for the purposes of National Instrument 58-101 **Figure 3**□). The Board provides guidance over the management, which is headed by the President and CEO, ensuring that the plans promoted by the management are in line with the company's values and strategies. Capital Power has an active and experienced management team with a good track record in power generation, asset optimization, and capital allocation.

The executive management, headed by the president and chief executive officer, has been effective in steering the shift towards cleaner sources of energy while at the same time having maintained stable cash flows on its thermal generation portfolio. During the last few years, the management has demonstrated discipline in the project's execution, management of contracts, and financing programs, which have influenced the continuous growth of EBITDA and dividends.

Key Operating Segments

CPX's operating revenue can be segmented by either fuel type (**Figure 4**) or facility geography. We primarily use facility geography as the basis for calculating and projecting future average growth for each respective segment.

1. Contracted Generation

This section of Capital Power, otherwise called Contracted Facilities, represents the segment that sells energy and services through long-term contracts, which are grounded in Alberta and a few other provinces – British Columbia and Ontario in Canada and several U.S. states. The segment primarily comprises natural gas and renewable generational assets, with revenues structured under fixed-price or index-based contracts (**Figure 5**).

This segment provides a consistent earnings foundation, which is used to generate predictable cash flows that are relatively unaffected by price changes for short-term commodities and are the basis of the overall valuation stability of the company.

2. Alberta Commercial and Portfolio Optimization

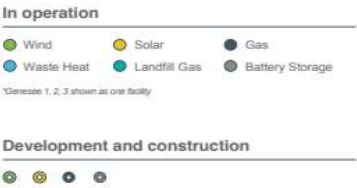
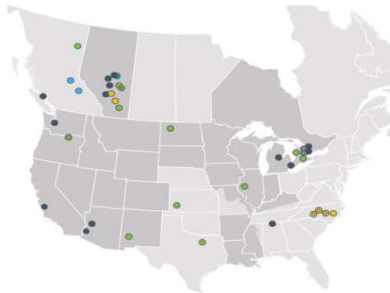
The Alberta Commercial segment consists of merchant generation plants participating in

Figure 1 Operating Footprint



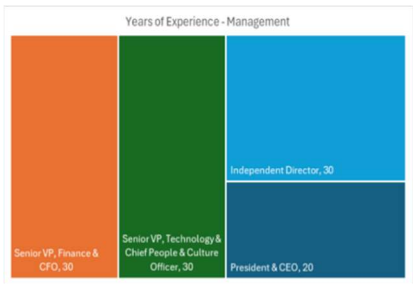
source: Capital power company official website

Figure 2 Power generation facilities



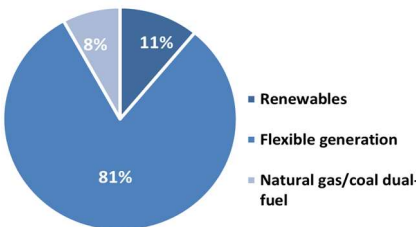
source: Capital power company Integrated-Annual-Report 2024

Figure 3 Years of Experience-Management



source: Compiled based on publicly available information

Figure 4 Revenues and other income by fuel type



Alberta’s deregulated power market. The income from this segment varies with local power prices, costs of fuel, and performance **(Figure 5)**. This segment also handles CPX's trading and risk management activities. It focuses on hedging market exposure and taking advantage of pricing opportunities using dynamic optimization.

This segment contributes to upside potential and strategic flexibility to the overall cash flow profile of Capital Power through active exposure management and pricing opportunities to capture.

3. Renewable and Sustainable Energy Development

Over the past decade, Capital Power has made considerable progress in its transformation towards a more sustainable and diversified power generation portfolio. The company has reduced the use of coal and dual fuel by 44%. Total capacity fell from 53% in 2013 to 9% in 2023, which indicates that the company has a firm commitment to decarbonization and clean energy production.

Currently, CPX has significantly expanded its business scope in the United States. Its cross-border production capacity has increased from only 5% of the total power generation to 50% now. This reflects CPX's strategic intention to shift to markets with stronger renewable growth potential and a stable regulatory framework.

From a financial perspective, such a transformation has been translated into solid profit growth. The adjusted EBITDA has been growing at a compound annual growth rate of 11%, reaching CAD 1.46 billion by 2023, while the dividend per share has been increasing at a compound annual growth rate of 8% during the same period. This highlights the company's ability to balance profitability and sustainability **(Figure 6)**.

Overall, these achievements fully demonstrate Capital Power's strict implementation of its long-term energy transition strategy, which includes reducing carbon intensity, expanding renewable energy production capacity, and maintaining shareholder-attractive returns within its financial safeguards **(Figure 7)**.

4. Corporate and Other Activities

Corporate overhead, shared services, and non-cash accounting items (such as unrealized changes in fair value on commodity derivatives and emission credits in IFRS 9) are included in the adjustment. Although accounting adjustments can create short-term earnings volatility, they do not significantly impact underlying cash flow generation.

Corporate operations and other activities facilitate good governance, finance, and risk management, which helps in the strategic implementation of contracted and merchant operations across North America.

Industry Overview

Industry Trends

The North American power generation industry is undergoing a significant transformation driven by decarbonization, regional market competition, and policy incentives.

1. Decarbonization

The federal and provincial governments are constantly deploying policies of reducing carbon reduction and clean electricity, urging enterprises to increase the retirement of coal-fired as well as natural gas plants and shift them to wind power, photovoltaic and energy storage facilities **(Figure 8&Figure 9)**.

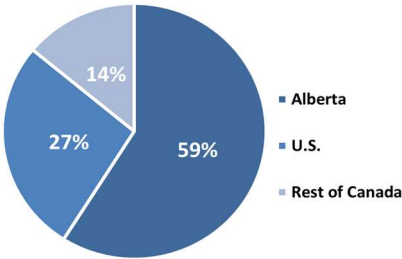
2. Demand Recovery

Post-pandemic industrial and commercial electricity demand has recovered significantly, particularly with the emergence of data centres, new energy vehicles, as well as hydrogen energy sectors, resulting in long-term electricity demand expansion **(Figure 10)**.

3. Policy Drivers

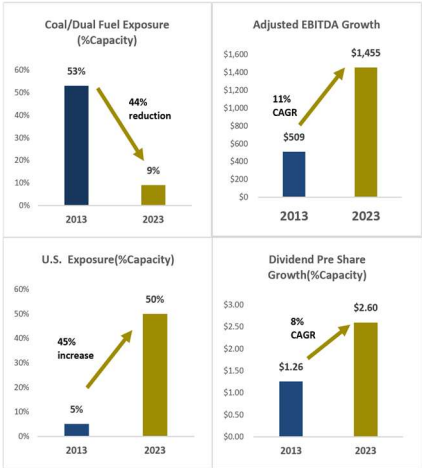
source: Capital power company Integrated-Annual-Report 2024

Figure 5 Revenues and other income by facility geography



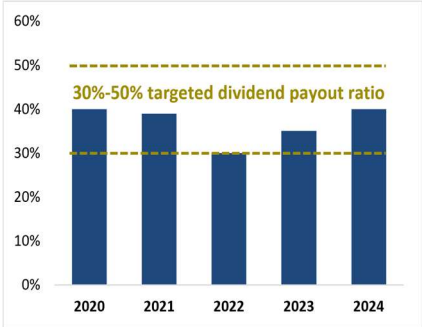
source: Capital power company Integrated-Annual-Report 2024

Figure 6 Growing through decarbonization and diversification



source: Capital Power-2023-Q4-Presentation

Figure 7 Dividend Payout Ratio



source: Capital Power-2025-Q2-Presentation

"10-year total shareholder return CAGR of 12.5%"

The government boosted the internal rate of return (IRR) of renewable energy projects and lowered the weighted average cost of capital (WACC) through investment tax credits (ITC) and clean energy financing roadmaps.

Opportunities and Risks

The North American power generation sector faces both significant growth opportunities and structural challenges. The proliferation of renewable energy, energy storage, and broad electrification creates substantial demand for new and modernized projects. Supportive government policies, such as subsidies, tax incentives, and carbon pricing, further bolster project returns and facilitate the energy transition.

Technological advancements in wind, solar, and battery storage—coupled with the potential for enhanced smart grid systems and cross-border electricity trade between the U.S. and Canada—strengthen the industry's growth prospects. These factors position companies like Capital Power to capitalize on the systemic shift toward cleaner, more flexible energy.

However, the industry confronts notable headwinds. These include climate-related risks to hydroelectric generation, high capital costs and financing hurdles, and significant regulatory discrepancies among provinces. While the long-term outlook remains positive, driven by decarbonization and innovation, managing these risks is crucial for sustaining profitability and stability.

Market Positioning

The North American power industry comprises both regulated utilities and independent power producers (IPPs), which compete in both contracted and merchant markets.

The highly concentrated nature of Canada's electricity generation sector effectively creates an oligopoly. The five largest firms account for approximately 96% of market capitalization and 94% of total revenues. Major players include Enbridge Inc., TC Energy, Hydro One, and Brookfield Renewable Partners.

Capital Power operates as a mid-sized player, holding less than 5% of the market share. However, it demonstrates above-average profitability and financial discipline. The company's 2023 Return on Equity (ROE) of 18% significantly exceeds the industry average of 13%. Furthermore, the company's EV/EBITDA multiple of 9.8x implies a potential undervaluation when compared to larger competitors such as Enbridge (12.6x) and TC Energy (12.8x).

Capital Power maintains an attractive dividend yield of 3.78%, exceeding the industry average of 3.0%-3.5%, and suggesting stable, predictable cash flows. When compared to its mid-sized peers, such as TransAlta and Maxim Power, Capital Power appears better positioned due to a stronger balance sheet, more disciplined leverage, and a record of stable dividend growth.

In conclusion, Capital Power strategically positions itself by leveraging a portfolio of gas-fired and growing renewable assets. The company is poised to capture upside from price increases in Alberta's merchant market while simultaneously securing stable cash flows from its long-term contracted projects. This hybrid "contracted and merchant" model enhances revenue resilience. This balanced risk-and-return profile supports its growth trajectory and provides a stable foundation for valuation via DCF and CCA methodologies (Figure 11).

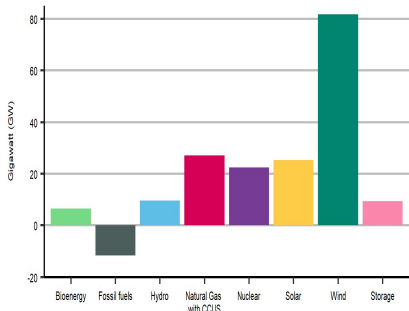
Company Financial Performance

Profitability – Strong Margin Recovery

The COVID-19 pandemic materially impacted Capital Power's (CPX) financial performance. A significant reduction in commercial electricity consumption, coupled with severe supply chain disruptions—such as extended project timelines and cost overruns—compressed the company's profitability during that period.

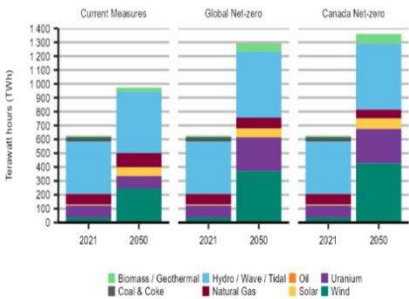
However, CPX has staged a robust recovery since 2022, and we believe it remains well-

Figure 8 Change in electricity capacity from 2021 to 2050, by fuel, Global Net-zero Scenario



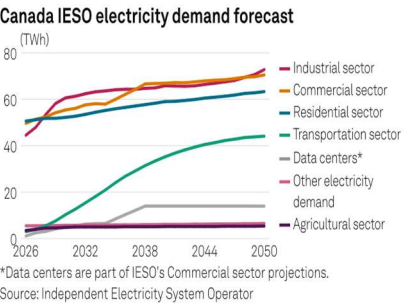
Source: Canada Energy Regulator

Figure 9 Electricity generation by fuel, all scenarios



Source: Canada Energy Regulator

Figure 10 Canada IESO electricity Demand



*Data centers are part of IESO's Commercial sector projections.
Source: Independent Electricity System Operator

Figure 11 Value Proposition

Metric	CPX	Industry Average	Interpretation
P/E Ratio	12.6	18.9	Undervalued vs. peers
ROE	18%	13%	Above-average profitability
EV/EBITDA	9.8	12.6	Attractive valuation
Dividend Yield	4.20%	3.20%	Higher income appeal

Source: Refinitiv (2025)

Figure 12 Profitability

positioned for significant future growth. The company's operating profit margin now exceeds pre-pandemic levels, reflecting enhanced operational resilience and the benefits of scale. This rebound was driven by recovering electricity demand, normalizing supply chains (which in turn lowered maintenance costs), and improved leverage.

Its financial metrics clearly reflect this operational turnaround. The net profit margin expanded dramatically from 4.7% in 2022 to 19.1% in 2024. Over the same period, ROA rose from 1.2% to 5.4%, and ROE surged from 4.5% to 15.3% (Figure 12&Figure 13).

Overall, CPX's profitability reflects a clear transformation from cyclical, pandemic-driven weaknesses to enduring structural improvement. The company is now poised for sustained success, with major projects in Alberta and the U.S. fully operational, supportive policies like carbon tax incentives taking effect, and the peak CAPEX period behind it. Stable long-term contracts secure the gradual commissioning of new energy projects, ensuring predictable, high-quality revenues. This positive trend is shown by better profit margins and increasing returns on assets, which means CPX has not only bounced back from the downturn but has also grown into a strong, money-making power producer with solid basics and the ability to grow steadily over the long term.

Operating efficiency: Stable cash flow generation

Over the past ten years, Capital Power has significantly improved its operational efficiency. In terms of inventory management and accounts payable management, the accounts receivable turnover rate has remained relatively stable and improved slightly in recent years. This indicates that credit discipline has become stricter, and the efficiency of collection has also increased.

The accounts payable turnover ratio has increased significantly, which reflects a faster payment speed to suppliers. Liquidity management may have also improved to some extent.

The inventory turnover ratio is steadily rising, which indicates that fuel procurement and supply chain operations have been optimized. The net operating cycle reached its peak in 2021 when the market fluctuated. However, thereafter, it returned to the pre-pandemic level, and the ability to control working capital improved (Figure 14).

Overall, the operation and management of CPX have become more flexible and efficient, which can generate stable cash flow and reduce short-term liquidity risks. This is a positive signal for long-term valuation stability.

Solvency – Prudent Leverage and Financial Discipline

In terms of capital strengths, it is necessary to maintain a healthy capital structure, improve the leverage ratio and have sufficient interest coverage capacity. Specifically, the debt-to-equity ratio decreased from 1.58 in 2022 to 1.12 in 2024. This change reflects an active debt repayment and an increase in retained earnings. The asset-liability ratio has dropped to 9.2%, and the management of the balance sheet is relatively stable (Figure 15). The interest and cash coverage ratios have remained stable (Figure 16). The interest coverage ratio has reached 4.7 times, and the interest yield in 2024 is 7.25 times. The debt-paying ability is relatively strong. Compared with other peers in the power generation industry, the leverage ratio of CPX is at a moderate level. It is within the target range of four times the net debt and EBITDA set by the management.

Such financial flexibility provides a certain space for the continuous capital investment growth projects. The management can still maintain dividend commitments despite rising interest rates. The deleveraging development trajectory of CPX and the improved interest coverage reflect the strong generation of operating cash flow and conservative financial discipline. These circumstances have played a supporting role in valuation stability and dividend sustainability.

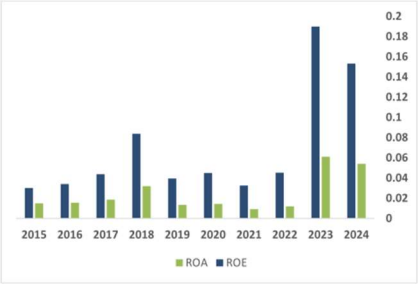
Growth Performance – Structural Expansion Potential

The revenue and earnings per share of Capital Power have shown considerable volatility over the past decade, mainly reflecting cyclical changes in electricity prices, project timings, and



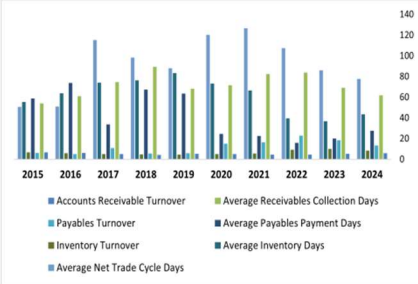
source: Compiled based on publicly available information

Figure 13 ROA & ROE



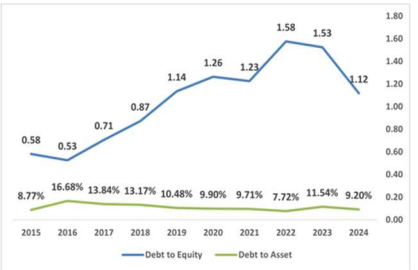
source: Compiled based on publicly available information

Figure 14 Operating Ratio



source: Compiled based on publicly available information

Figure 15 Debt-to-Equity and Debt-to-Asset Trend



source: Compiled based on publicly available information

Figure 16 Interest Coverage and Times Interest Earned

power generation portfolios. Driven by high electricity prices and the benefits of portfolio optimization, the 2022 to 2023 witnessed a particularly prominent growth period. However, as the income of Alberta businesspeople declined, the total income in 2024 declined by 11.8%. Even so, supported by new renewable energy projects and expansion in the United States, the company's five-year compound annual revenue growth rate remains relatively strong. After the disruptions caused by the pandemic, earnings per share have shown signs of recovery, rising significantly from CAD 0.84 in 2022 to CAD 5.15 in 2024, marking a gradual normalization of profit margin and efficiency improvements (**Figure 17**). Such a rebound highlights that once the short-term shock fades, the company can convert revenue growth into shareholder returns. The strong performance in 2023 to some extent reflected the gains from non-recurring transactions, but the continued recovery of earnings per share in 2024 confirmed the improvement in potential profitability.

Although there are cyclical fluctuations in earnings, CPX has demonstrated potential for structural growth through increased production capacity, stable contracts, and the commissioning of renewable energy projects.

Capital Power’s solid profitability recovery, improved efficiency, healthy leverage, and steady growth outlook support our DCF and CCA valuations.

Valuation

Our valuation of Capital Power (CPX) incorporates three complementary approaches—Discounted Cash Flow (DCF), Dividend Discount Model (DDM), and Comparable Company Analysis (CCA) weighed 50%, 30%, and 20% respectively. After calculation, the resulting mixed target price is CAD 78.41 per share. Compared with the current market price, it has risen to a certain extent. Currently, the price of CPX is close to the upper limit of its 52-week trading range, which is 42.66 to 73.55 Canadian dollars (**Figure 18**).

Such a valuation indicates that CPX has strong fundamentals, a relatively flexible cash flow, and a stable dividend policy. This valuation result is also supported by factors such as the company's diversified asset portfolio and strict capital management. The results of all three models closely cluster within the same range. That is, the range of 73 to 79 Canadian dollars. This enhances the robustness of the assumptions we have made and indicates that CPX is slightly underestimated compared to its intrinsic value.

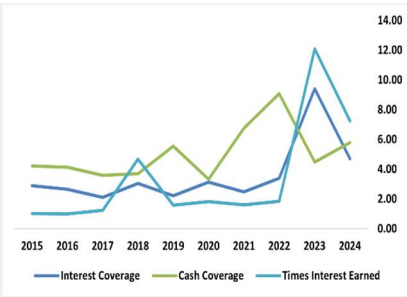
Discounted Cash Flow (DCF)

We conducted an intrinsic valuation, blending both the perpetual growth and mean-regression growth methods, to arrive at a 2025 ending target price of \$79.40 per share for CPX. DCF was chosen as the appropriate model for assessing the value of Capital Power due to the predictable nature of the company’s business and its capital-intensive structure, which is financed through a mix of common equity, preference shares, and debt.

Revenue growth

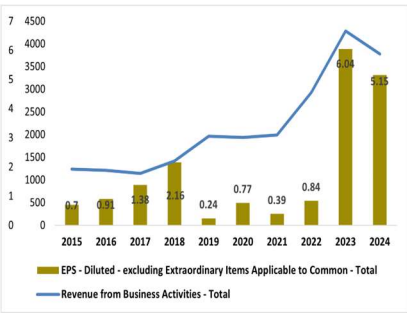
Our revenue forecast is broken down by business segments to reflect the unique drivers of each operation. Growth is primarily led by our U.S. contracted facilities business, which we forecast to grow at a high 22.99% CAGR. This reflects the company's successful expansion in the US market and the signing of new long-term contracts. Similarly, our Ontario contracted facilities are expected to deliver strong growth at an 11.79% CAGR. The company's core business and largest top-line contributor, Alberta commercial facilities, is projected to grow at a solid 9.20% CAGR (**Figure 19**), providing a stable foundation for the company.

Meanwhile, the "Unrealized changes in fair value of commodity derivatives and emission credits" segment has demonstrated extreme historical volatility, with gains driven by commodity market fluctuations. We do not believe the recent high gains are sustainable. Therefore, rather than assigning a growth rate, we have used a mean reversion approach, forecasting this segment



source: Compiled based on publicly available information

Figure 17 Revenue and EPS Growth Rate (2015–2024)



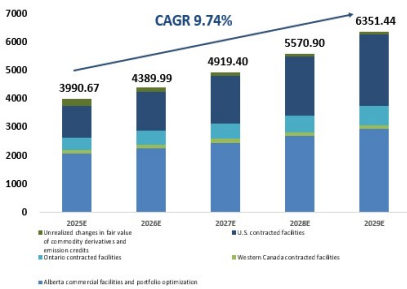
source: Compiled based on publicly available information

Figure 18 Target Price

52week range	42.66 (low)
	73.55 (high)
DCF(50%)	79.40
DDM(30%)	73.30
CCA(20%)	83.58
Current price	Trager price
71.34	78.41

Source: Compiled based on publicly available information

Figure 19 Segmented Revenue



Source: Compiled based on publicly available information

Figure 20 EBITDA & EBITDA Margin Forecast

to contract from \$254 million in 2025E to a more normalized level of \$73 million by 2029E. Aggregating these independent forecasts, we project total revenue to grow from \$3,991 million in 2025E to \$6,351 million by 2029E.

Cost and Depreciation

Our cost and depreciation forecast is similarly based on divided analysis of each expense item.

The growth in total expenses is primarily driven by the largest and fastest-growing component, "energy purchases and fuel," which we forecast to grow at a high 14.07% CAGR, reflecting business expansion and potential commodity price inflation. Other core operating expenses, including "Staff costs and employee benefits" (7.79%), "Other administrative expense" (8.99%), and "Other operating expenses" (8.25%), are projected to grow at more moderate yet significant rates, consistent with the personnel and administrative scaling required to support revenue growth. Cumulatively, we forecast total expenses to increase from \$2,771 million in 2025E to \$4,459 million by 2029E (Figure 21).

Depreciation and amortization are forecast to grow at an 8.87% CAGR. This D&A growth is mainly led by the steady increase in "Depreciation of property, plant and equipment" (7.96%), compounded by a rapid 22.72% CAGR in "Amortization of intangible assets", while other amortization items like contract rights and computer software are projected to decline.

Net Working Capital

Our Net Working Capital (NWC) forecast is based on the percentage of sales method, using the historical 2015-2024 averages as our key assumptions: Inventory at 22.78% of revenue, Receivables at 17.56% of revenue, and Payables at 51.86%. Because the high percentage of Payables largely offsets the cash use from inventory and receivables, we forecast the final NWC balance to remain remarkably stable and manageable. It is projected to be \$108 million in 2025E and end the period at \$112 million in 2029E, implying that the change in NWC will not be a significant drain on free cash flow.

Capital expenditure

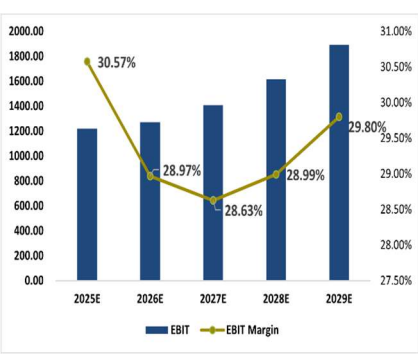
Capital expenditure is predicted based on the company's historical investment cycle and project development pipeline.

Over the past decade, CPX's capital expenditure has shown a cyclical pattern. A typical feature of this pattern is that there is a major investment surge every 3 to 4 years, followed by a relatively stable period. In 2024, total capital expenditure nearly doubled compared to the previous year. This growth was mainly driven by the Genesee renovation project and the increase in renewable assets. Considering this investment peak that occurred earlier, we make the following assumption here: As major projects are gradually completed, capital expenditure in 2025 will be approximately 60% lower than that in 2024 (Figure 22).

From 2026 to 2028, the growth will follow a relatively moderate trajectory, increasing at the average capital expenditure growth rate of the past three years mentioned above. This actually reflects the maintenance work and incremental development of renewable energy. Starting from 2029, it is expected that capital expenditure will increase by approximately 15%, which indicates that the next investment cycle has begun. This is in line with long-term decarbonization, and capacity expansion plans formulated by the management. Such an assumption can ensure that our model can capture the cyclical investment behavior of CPX and maintain a relatively realistic balance between growth capital and the generation of free cash flow. This approach is also consistent with industry trends. After the completion of large-scale transitional projects, the capital intensity generally eases and then increases to enter the next development stage.

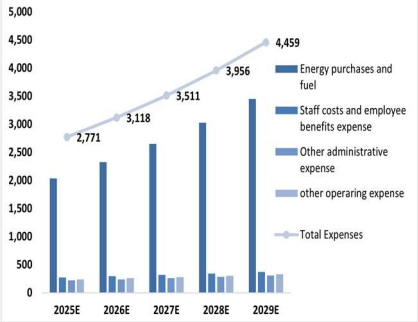
Discount Rate (WACC)

Cost of Debt: To determine the cost of debt, we utilized the company's implied interest rate. We derived a pre-tax cost of debt of 3.80% by dividing the annual interest expense (\$270 million) by its total market value of debt (\$7,100 million). We believe this effective rate most accurately



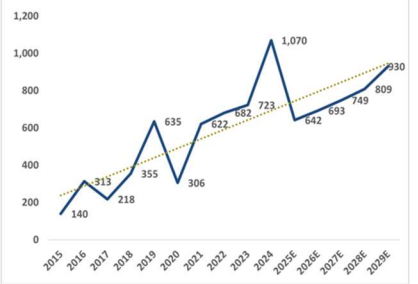
Source: Compiled based on publicly available information

Figure 21 Cost and Depreciation



Source: Compiled based on publicly available information

Figure 22 CapEx change Trend



Source: Compiled based on publicly available information

Figure 23 Capital Structure

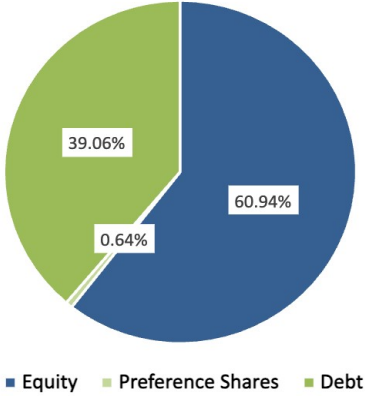


Figure 24 WACC Buildup

reflects the company's actual borrowing costs.

Cost of Equity & Preferred: We assume the Cost of Equity, calculated via CAPM, is 7.58%, reflecting the return requirements for common stock investors. We also included preference shares in the capital structure, with a calculated cost of 2.83% based on their current dividend and market price.

WACC: We used current market values to determine the capital structure weights: 60.4% common equity, 39.0% debt, and 0.6% preference shares (**Figure 23**). Using a 7.58% cost of equity, a 2.97% after-tax cost of debt (after applying the 22.02% effective tax rate), and a 2.83% cost of preferred; the final implied WACC is 5.80%.

This 5.80% WACC is significantly lower than Damodaran's estimated average cost of capital for the electric utility industry (approx. 7.1%), which suggests our valuation model employs a more aggressive discount rate and will, in turn, lead to a higher valuation result (**Figure 24**).

Terminal Growth and Exit Multiple

We assumed a terminal growth rate of 3.00%, which reflects our view on long-term macroeconomic growth and inflation targets, consistent with the profile of a mature utility company. Applying this growth rate results in a terminal value of \$22,239 million, which implies an exit multiple of 12.0x EV/EBITDA. We believe this multiple is justified. Given CPX's stable cash flows from its portfolio of regulated and contracted assets, we believe the company should trade at a premium multiple that reflects its low-risk profile and predictable free cash flow generation.

Dividend Discount Model (DDM) - Two Stage Model

We conducted an intrinsic valuation to arrive at an end-of-2025 intrinsic value of \$73.30 per share for CPX using a two-stage Dividend Discount Model (DDM).

Given CPX's mature business model as a utility company, its stable cash flow, regular but fluctuating dividends, and CPX's historical dividend policy, the DDM was found to be an appropriate model for its valuation.

This model accounts for the company's dividend growth capabilities in the foreseeable future (Stage 1) and into perpetuity (Stage 2) (**Figure 27**).

Dividend Growth

As the company's growth is expected to eventually moderate to a level in line with the broader economy, we forecast two distinct growth phases:

Stage 1 (High-Growth Period, 2025-2029): We use the average growth rate of ten years as the growth rate of the first stage. We forecast dividend growth of 6.82% in this stage. This rate is used to project the dividend payments from 2025 (\$2.71) through 2029 (\$3.52).

Stage 2 (Perpetual Growth, beyond 2029): Certainly, the high growth rate is not sustainable indefinitely, and as a result, we forecast a deceleration to a 3.00% perpetual growth rate considering 1.0% real growth rate and 2.0% inflation rate. This reflects a normalized, long-term economic and industry level (**Figure 26**).

Discount Rate (Cost of Equity)

Unlike the WACC methodology used for a DCF, we used the Capital Asset Pricing Model (CAPM) to calculate the cost of equity, otherwise known as the discount rate, as it reflects the return required by investors to hold CPX stock in the present rate environment. The CAPM formula is as follows:

$$Re = Rf + \beta(Rm - Rf)$$

Cost of Equity: The CAPM derives a cost of equity of 7.21575% (rounded to 7.22% in the sensitivity analysis).

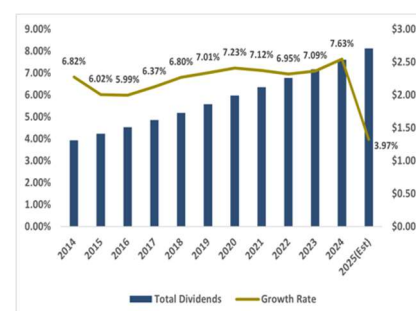
Risk-Free Rate: We used the 5.36% yield on the "10 YEAR CAD BOND" as a proxy for the long-term risk-free rate.

Market Return: We used the "E(r) average" of the 20-year and 30-year annualized S&P 500

Tax Rate	22.02%
After-tax cost of debt	2.97%
Cost of Equity	7.58%
Net debt	7100.00
Value of Preference Shares	115.65
Market value of equity	11077.24
Enterprise value	18177.24
WACC	5.80%

Source: Compiled based on publicly available information

Figure 25 Dividend Growth (2021-2025)



Source: Compiled based on publicly available information

Figure 26 Dividend Forecast (2025-2029)



Source: Compiled based on publicly available information

Figure 27 DDM Result

Stage 1 growth rate (2025–2029)	6.82%
Stage 2 growth rate (beyond 2029)	3.00%
Risk-free Rate	3.36%
Market Return : Rm	10.64%
Beta	0.53
Terminal Value (TV) at Year 2028	\$83.60
Current Price	\$73.30

Source: Group 2 Analysis

returns, equating to 10.64%.

Beta: CPX’s beta is 0.53. This beta, significantly below 1.0, reflects the company's lower systematic risk and volatility (typical of a utility) compared to the broader market.

Terminal Value

We assumed a perpetual growth rate of 3.00% and a discount rate of 7.22%. This derives from a Terminal Value (TV) of \$83.60, calculated at the end of 2029 (the end of Stage 1). This Terminal Value, along with the projected Stage 1 dividends (D2026 to D2029), was discounted back to the end of 2025 to arrive at the final intrinsic value of \$73.30.

Comparable Company Analysis

To assess the relative valuation of Capital Power in the independent power and utility sectors in North America, we selected ten peer companies with similar business models, geographical distributions, and power generation portfolios to conduct a comparable company analysis. The selected peer companies are Northland Power, Boralex, TC Energy, Canadian Utilities, Fortis, Atco, Emera, Hydro One, and AltaGas. These companies together represent a diversified portfolio of natural gas and renewable energy power generation assets in Canada and the United States, making them suitable comparable objects for Capital power.

In terms of the selection of valuation multiples, considering the capital-intensive nature of the power generation industry and its relatively high level of fixed assets, we take EV/EBITDA as the main valuation multiple and P/E as a supplement for cross-checking. EV/EBITDA was chosen because it can offset the differences in leverage and depreciation policies, thus providing clearer indicators of operating performance and cash flow generation. It is the most widely used enterprise-level valuation benchmark in the utility and infrastructure industries. The price-earnings ratio is used as a secondary check to capture the stock market's views on profitability and investor sentiment. However, it only applies to peers with similar capital structures to ensure comparability. Other ratios, such as EV/Sales, EV/EBIT or P/B, were excluded because they either ignored differences in profitability or had a relatively low correlation with heavy-asset utilities.

Based on the peer group we selected, after a series of calculations, we concluded that the average forward EV/EBITDA multiple is 11.45x (**Figure 28**), while the price-earnings ratio is 19.28x (**Figure 29**). Then, we applied these industry averages to the EBITDA and earnings per share predicted by CPX for 2024. In this way, the following implicit valuations are obtained.

We divided the figure after deducting approximately 3.2 billion Canadian dollars of net debt by 138.98 million outstanding shares. Then, the EV/EBITDA multiple was used for calculation, and the implied fair value per share was 78.6 Canadian dollars. Additionally, the price-earnings ratio multiple was used for valuation, and the result was 88.6 Canadian dollars per share. By adding these two estimated values together and taking the average, we can obtain the final fair value of approximately CAD 83.6 per share. This result indicates that CPX has a moderate premium compared to the current market price of CAD 70.82 per share, which also indicates that CPX is still slightly undervalued compared to its intrinsic value (**Figure 30**).

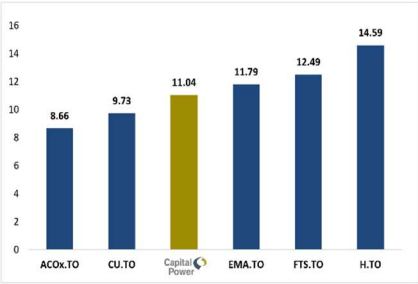
Sensitivity and Scenario Analysis

Key Model Drivers

Among the DCF model and DDM model, the main value drivers include revenue growth, capital expenditure intensity, and the discount rate, also known as WACC. These factors directly affect the generation of free cash flow and terminal value. The combined proportion of free cash flow and terminal value in the total enterprise value exceeds 70%.

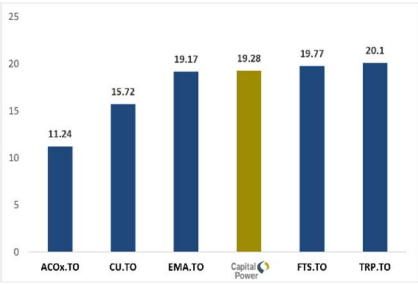
In terms of income growth, the commodity prices in Alberta are relatively high, and the contracted production capacity has increased. This directly leads to an increase in income growth

Figure 28 EBITDA



source: Compiled based on publicly available information

Figure 29 P/E



source: Compiled based on publicly available information

Figure 30 CCA Results

Metric	Peer Average Multiple	Implied Value (CAD/Share)
EV/EBITDA	11.45x	\$78.59
P/E	17.20x	\$88.58

source: Compiled based on publicly available information

Figure 31 Sensitivity Analysis (DCF)

Perpetual growth rate	WACC				
	5.60%	5.70%	5.80%	5.90%	6.00%
1.00%	36.46	34.74	33.09	31.52	30.00
1.50%	44.73	42.62	40.60	38.68	36.84
2.00%	55.31	52.62	50.08	47.67	45.38
2.50%	69.30	65.76	62.44	59.31	56.36
3.00%	88.66	83.76	79.20	74.96	71.01
3.50%	117.25	109.94	103.26	97.14	91.51

source: Compiled based on publicly available information

Figure 32 Sensitivity Analysis (DDM)

Perpetual growth rate	Discount Rate				
	6.22%	6.72%	7.22%	7.72%	8.22%
2.00%	75.88	67.72	61.18	55.68	51.12
2.50%	84.70	74.54	66.60	60.07	54.73
3.00%	96.25	83.19	73.30	65.38	59.03
3.50%	112.06	94.53	81.82	71.95	64.25
4.00%	134.98	110.04	92.98	80.29	70.70

source: Compiled based on publicly available information

and operating cash flow.

The WACC can reflect the changes in interest rates, capital structure, and perceived market risks. If the WACC is relatively high, the present value of future cash flow will decrease.

The terminal growth rate can reflect the long-term sustainability of profits. Even a small change in *g* will have an amplifying impact on valuation.

Capital expenditure determines the demand for reinvestment. If capital expenditure is relatively high, the generation of cash in the near future will slow down. However, the process does support future growth.

Sensitivity Analysis (DCF)

We test the DCF model in terms of WACC and terminal growth rate. Under the basic situation, when WACC equals 5.8% and the growth rate equals 3.0%, the calculated fair value is CAD 79.4 per share. If WACC increases by 0.2%, then the value would decrease by approximately 10%. For every 0.5% increase in the permanent growth rate, the value will rise by approximately 15%. As can be seen from the sensitivity grid, the valuation range is between CAD 36 and 117 (Figure 31). This indicates that the reliance on these assumptions is moderate and not overly dependent. The result also implies that the DCF model is mainly driven by long-term discount dynamics. The model is not influenced by short-term profit noise.

Sensitivity Analysis (DDM)

The sensitivity analysis of the dividend discount model mainly examines how changes in the cost of equity (*r*) and the long-term dividend growth rate (*g*) will affect the estimated fair value of Capital Power stocks. As shown in the table below, the valuation results are particularly sensitive to these two variables.

When using the basic case assumptions such as *r* = 7.22% and *g* = 3.0%, the intrinsic value calculated by this model is approximately CAD 73.3 per share, which is relatively close to the current market price. If the cost of equity drops by 0.5% to 6.72%, the implied value will rise to CAD 83.19. If the cost of equity increases by 0.5% to 7.72%, the fair value will drop to CAD 65.38. By the same token, when the permanent growth rate increases from 2.5% to 3.5%, the value rises from CAD 66.6 to 81.8, showing a moderate positive sensitivity to long-term growth expectations. Similarly, an increase in the permanent growth rate from 2.5% to 3.5% results in a value increase from CAD 66.6 to 81.8, indicating a moderate positive sensitivity to long-term growth expectations (Figure 32).

Overall, the DDM valuation indicates that the equity value of Capital Power is most influenced by investors' demands for returns and assumptions of long-term dividend growth. This illustrates the company's consistent dividend policy and highlights its vulnerability to fluctuations in capital expenses.

Scenario Analysis

To complement the sensitivity analysis, we constructed a set of integrated macroeconomic and operational scenarios to assess how Capital Power’s valuation would respond to changes in the broader economic environment. Each scenario combines variations in economic growth, power price dynamics, policy support, and cost of capital (WACC), capturing the joint effect of both external and company-specific factors on cash flow generation and intrinsic value.

In the basic case representing neutral market and policy conditions, this paper assumes that the WACC is 5.8%, the permanent growth rate is 3.0%, and the electricity price is in a stable state. Such an assumption generates an equity value of approximately CAD78.41 per share, which is consistent with the results of the DCF, DDM and CCA models.

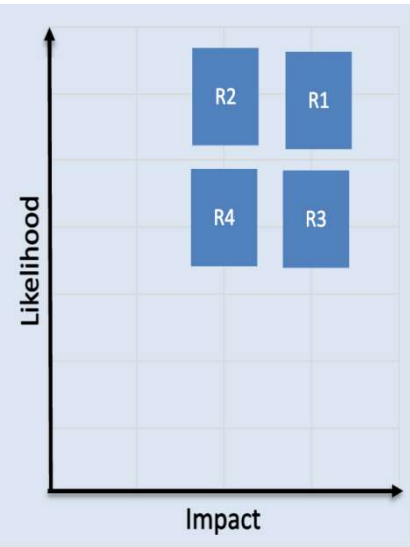
In a bull market, the economy has a strong recovery, renewable energy has excellent incentive policies, and the financing cost is relatively low. Here, the WACC is 5.6%. These factors have

Figure 33 Scenario Overview

Scenario	Economic Conditions	Key Assumptions	Fair Value (CAD/share)
Bull Case	Economic expansion, higher demand, supportive carbon policy, low interest rates	GDP ↑, WACC 5.6%, g 3.5%, price +48%	117.00
Base Case	Stable growth, neutral policy, balanced inflation	WACC 5.8%, g 3.0%	79.40
Bear Case	Slower growth, policy uncertainty, high interest rates	GDP ↓, WACC 6.0%, g 2.0%, price -43%	45.00

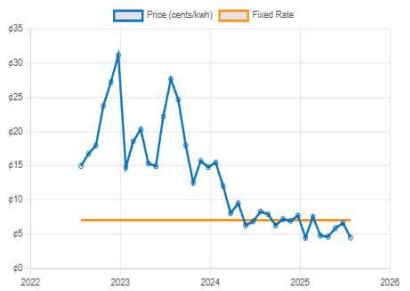
source: Compiled based on publicly available information

Figure 34 Risk Metric



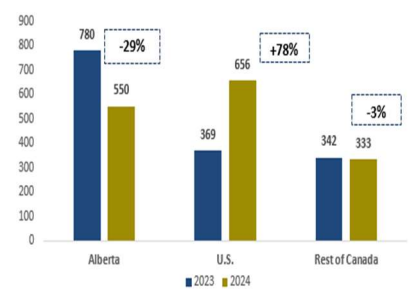
source: Compiled based on publicly available information

Figure 35 Alberta Historical Electricity Rate: Floating vs Fixed



source: Compiled based on publicly available information

Figure 36 Adjusted EBITDA 2023 to 2024 comparison



driven a high growth rate of 3.5%, making the estimated fair value per share reach 105 Canadian dollars. In contrast, the outlook for a bear market forecast is more conservative. Electricity prices will decline by 48%, the pace of project expansion will slow down, and the monetary environment will tighten. Here, the WACC is 6.0% and the permanent growth rate is 2.0%, which will cause the fair value to fall to CAD 45 per share (Figure 33).

Among all the models, the valuation results are consistent in direction, which confirms that the intrinsic value of Capital Power is the most sensitive to the discount rate and long-term growth assumptions, while the stability of contracted cash flow can play a certain buffering role under adverse conditions.

Risks and Limitations

Risk #1: Power Price Volatility

Capital Power will still be affected by fluctuations in electricity prices. In the commercial market of Alberta, this market accounts for approximately 40% of the total power generation. If the spot price keeps falling, it may significantly compress the profit margin and increase the volatility of earnings. In the commercial and portfolio optimization department of Alberta, this situation will be even more obvious. As shown in Alberta's revenue dropped by 29% in 2024, reflecting weak electricity prices and reduced transaction earnings. In contrast, due to long-term contract assets and higher capacity payments, the US business grew by 78%, while revenue in other regions of Canada remained relatively stable, declining by 3% (Figure 36). This shows how regional price fluctuations directly affect CPX's profitability. Although the diversification of the US market has mitigated some of the risks in Alberta, the company's overall performance is still sensitive to fluctuations in the electricity market cycle and commercial pricing.

Mitigant: By signing long-term hedging contracts, CPX has proactively managed its risk exposure. By 2025, over 9,500 GWH had been hedged at a relatively high price of 70 Canadian dollars per megawatt-hour (Figure 37) This ensures that the cash flow is visible in the near term and also reduces the risks brought about by the market downturn.

Risk #2: Policy and Regulatory Uncertainty

As can be seen from the chart, the carbon tax amount stipulated by Canada's federal carbon tax legislation will gradually increase from 20 Canadian dollars per ton in 2019 until it reaches 170 Canadian dollars per ton by 2030. This reflects the country's strong determination to achieve its decarbonization goals, and the carbon pricing has risen significantly. This has directly affected the operating costs of fossil fuel power generation enterprises and also whether they can make money (Figure 38).

For Capital Power, there are still natural gas power generation assets in its investment portfolio up to now. If there are changes in the carbon pricing schedule, or environmental standards are altered, or renewable energy subsidies are adjusted, all these situations may cause significant changes in whether the project can be profitable and the investment return situation. The provincial compliance system, like Alberta's TIER regulations, has also brought some uncertainties to cash flow forecasting and long-term capital allocation due to its implementation speed and specific structural arrangements.

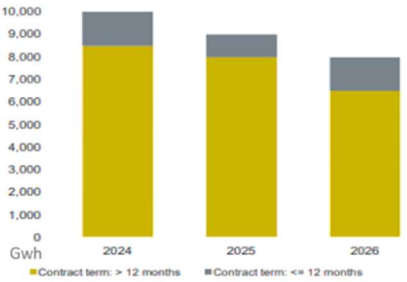
Mitigant: CPX holds a diversified portfolio of contract and commercial assets in several jurisdictions. Its early coal-to-gas conversion and its leading position in carbon capture, namely the Genesee repower project, have provided it with compliance flexibility under the constantly changing policy framework (Figure 39)

Risk #3: Macroeconomic and Financing Risks

As shown in Figure 40, since 2022, the policy interest rate of the Bank of Canada has risen sharply. This is done to deal with inflationary pressure, which is in line with the estimates made by the Taylor

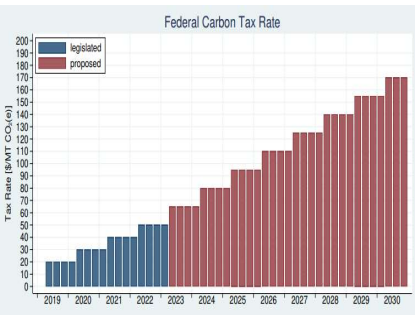
source: Capital power company 2024 Q4
Analyst presentation

Figure 37 Hedged Volume (GWH)



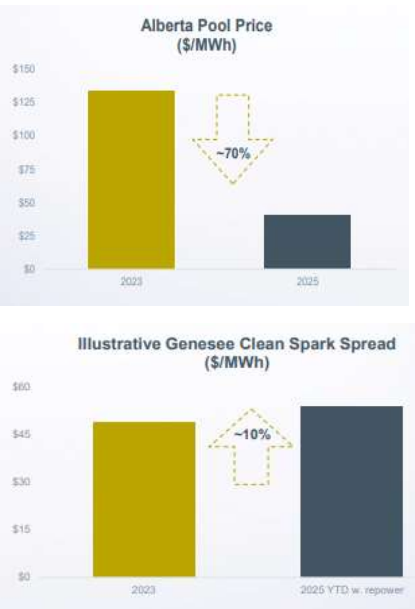
source: Capital power company 2024 Q4
Analyst presentation

Figure 38 Canada's federal Carbon Tax rate



source: wernerantweiler.ca

Figure 39 Genesee Repowering Project



source: Capital Power-2025-Q2-Presentation

"Through increased efficiency, lower carbon taxes, and hedging we have increased our profitability at Genesee"

Figure 40 Bank of Canada Policy Rate vs. Taylor Rule Estimate

rule, which indicates that the monetary environment will tighten, with higher interest rates and a restrictive credit environment. It is possible that it will increase the financing cost of Capital Power, compress the free cash flow, and may also restrict the growth of dividends.

Mitigant: CPX has a stable operating cash flow foundation and a strict dividend payout ratio ranging from 30% to 50%, which provides a certain financial buffer. The company has an investment-grade credit standing, which enables it to continue to obtain low-cost capital even under unfavorable macroeconomic conditions (**Figure 7**).

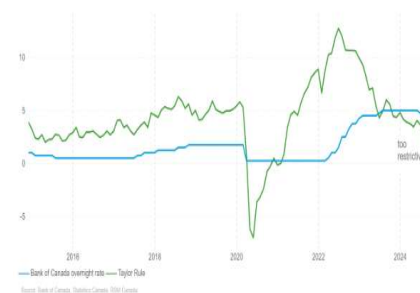
Risk #4: Transition and Technology Uncertainty

The energy transition will increase technological risks, including the pace of innovation in battery storage, hydrogen, and CCUS. If the performance of new technologies is not good or the commercialization time is delayed, it may weaken the competitive advantage of CPX.

Mitigant: CPX will actively invest in emerging technologies by launching pilot projects and establishing partnerships, such as conducting feasibility studies on SMR and CCUS. This is done to ensure its adaptability to the constantly evolving industry standards and to maintain its competitiveness in the long term.

(2015–2024)

Bank of Canada policy rate and RSM Taylor Rule estimates



source: Bank of Canada

Valuation Summary and Conclusion

Among the three valuation models, the DCF model is the most reliable and appropriate because it reflects the full potential valuation of intrinsic cash flows, capital-intensive business model, and predictable earnings base of Capital Power.

$$\text{Target Price} = 50\% * \text{DCF} + 30\% * \text{DDM} + 20\% * \text{CCA}$$

As a result, DCF was assigned the highest weight of 50%, which indicates that it is more congruent with the long-term fundamentals of the company. The DDM model was pegged at 30% due to the stable and consistent dividend policy, since CPX maintains stable and consistent values, and the weight of the CCA model was limited to 20% as it was used to cross-check the valuation of multiples of peers. Public utilities generate value through stable cash flows, and, for capital-intensive industries, their investment recovery periods are quite long. DCF can reflect long-term value. Finally, long-term contracts significantly influence our company's revenue and cost structure, making it highly predictable. Therefore, we assigned the highest weight to DCF. Secondly, the dividend payout ratio of CPX9 is quite stable, so 30% of the weight is assigned to DDM. Since the peer ratio may be highly non-comparable due to differences in regulatory policies, power structure, and contract models among various regions, we assigned the lowest weight to it.

The triangulated target price of C\$78.41 is the weighted result of these three models, and the implication of this calculation is that the stock is expected to increase by about 10% against its current market price. This implies that Capital Power offers moderate capital growth prospects with consistent cash flow and stable dividend growth, which reflect the characteristics of a mature yet continuously growing utility company.

Conclusion

Capital Power exhibits the features of a financially sound and strategically located generation of power in the energy market of North America. This long-term investment attractiveness is strengthened through diversification of the company in terms of assets, a long-standing policy of dividends, and its active transition toward renewable as well as producing low-carbon energy sources.

Using the triangulated valuation result, which is anchored on the DCF model and supported by the DDM and CCA models, the target price is C\$78.41, meaning that the potential return is 10% against the current market price. This is a case of relative underestimation compared to peers in the market and has been driven by steady cash flow visibility, capital management, and increasing renewable capacity.

While there might be short-term challenges arising from macroeconomic factors such as interest rate changes and policy uncertainties, effective risk management, disciplined governance and a focus on decarbonization make Capital Power well positioned to achieve sustainable value creation and consistent shareholder returns in the long term.

Appendix 1 – Mean Reversion Method for Unrealized Fair Value Changes

Rationale and Background

The item "Unrealized Changes in Fair Value of Commodity Derivatives and Emission Credits" is actually an adjustment of capital dynamic hedging and trading portfolios based on market value. The changes mentioned here are mainly driven by short-term fluctuations in commodity prices, the carbon credit market, and forward curve changes. However, these changes often fail to reflect the sustainable business performance situation because this project is volatile and has the characteristic of mean reversion. If linear trends or methods based on compound annual growth rates are used for prediction, the volatility of long-term returns will be overestimated and the intrinsic value of the company will be distorted.

Methodology

To address this issue, we applied a mean reversion (MR) model, which assumes that unrealized fair value changes gradually revert toward a long-term equilibrium level. The model can be expressed as:

$$X_{t+1} = X_t + \lambda(\bar{X} - X_t)$$

where:

X_t =current year's unrealized fair value change,

$\bar{X}$ =long-term mean (calculated as the 4-year historical average, 2021–2024),

$\lambda = 0.5$ = mean reversion coefficient, indicating moderate reversion speed.

The λ value is 0.5, it means that 50% of the long-term mean deviation needs to be corrected each year. The purpose of doing this is actually to balance the short-term persistence and the medium-term normalization.

Justification

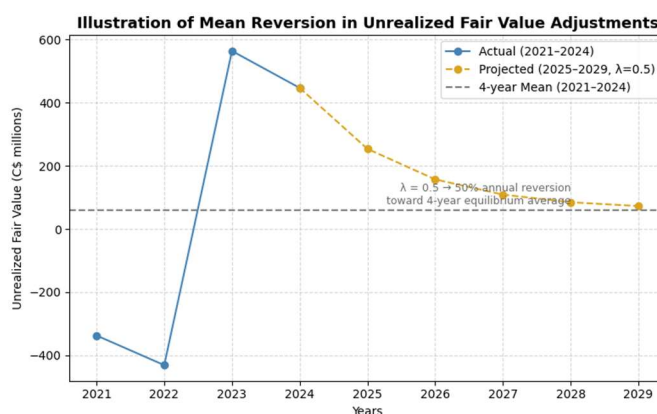
Empirical Basis: Studies such as Poterba & Summers (1988) (Journal of Economic Perspectives) show that asset and commodity prices exhibit mean reversion after large shocks. CPX's unrealized derivative gains/losses—linked to commodity markets—follow a similar pattern.

IFRS 9 Context: Since unrealized fair value changes are non-cash and temporary, smoothing through mean reversion aligns with intrinsic value estimation principles under discounted cash flow (DCF) frameworks.

Choice of $\lambda = 0.5$: Compared with slower reversion, $\lambda = 0.5$ better captures the medium-term correction pace observed in electricity and carbon markets, where pricing deviations typically normalize within 2–3 years.

Choice of 4-Year Mean: Using a 4-year historical mean (2021–2024) captures both recent market volatility and structural regime shifts post-COVID and post-carbon pricing expansion, ensuring forecasts reflect current market realities rather than outdated trends.

We estimate the fair value changes that have not been realized after 2025 by using a mean reversion model with λ equal to 0.5 on the historical average of four years. This specific method can smooth out the extreme fluctuations observed in 2022–2023 and also maintain the existing cyclical behavior. The final outcome will gradually tend towards an equilibrium state, which can support the stability of valuation and reduce the noise that occurs during the cash flow forecasting process.



source: Group 2 Analysis

Appendix 2: Valuation Support (DCF model Base Case)

Valuation Takeaway

Capital Power will provide segmented financial disclosure content. However, the detailed revenue breakdown classified by factory or contract type is relatively limited. Because of the nature of information disclosure itself, it is somewhat challenging to construct a granular revenue accumulation model that can be directly associated with each megawatt-hour of electricity or price. For the "Alberta Provincial Business Facilities and Portfolio Optimization" section, which has the greatest impact on our revenue estimation, due to the extremely unstable electricity prices in Canada and the inability to accurately predict electricity demand, as well as the difficulty in measuring the increase or decrease in the portfolio optimization part, we ultimately adopted a conservative CAGR growth assumption. This article adopts a top-down DCF approach. When forecasting revenue, it uses fine-graded CAGR growth assumptions, which can reflect the fundamental drivers of each business line.

For the Alberta Business and Portfolio Optimization section, a hybrid approach was employed when forecasting revenue. This method combines historical compound annual growth rates with average regression adjustments to reflect the volatility of commercial electricity prices. The contract generation and the US renewable energy sector use stable growth rates, which are in line with long-term power purchase agreements and policy-driven expansion of renewable energy.

Free Cash Flow Projections						
	2025E	2026E	2027E	2028E	2029E	CAGR
<i>Alberta commercial facilities and portfolio optimization</i>	2059.56	2249.10	2456.08	2682.10	2928.93	9.20%
<i>Western Canada contracted facilities</i>	144.04	145.09	146.14	147.21	148.28	0.73%
<i>Ontario contracted facilities</i>	422.57	472.40	528.10	590.36	659.97	11.79%
<i>U.S. contracted facilities</i>	1110.62	1365.98	1680.05	2066.34	2541.44	22.99%
<i>Unrealized changes in fair value of commodity derivatives and emission credits</i>	253.88	157.31	109.03	84.89	72.82	
Total Revenue	3,991	4,390	4,919	5,571	6,351	9.74%
<i>Revenue growth</i>	5.69%	10.00%	12.06%	13.24%	14.01%	
Total Expenses of Operating Depreciation and amortization	2,771	3,118	3,511	3,956	4,459	
EBITDA	1,220	1,272	1,408	1,615	1,893	
<i>EBITDA Margin</i>	30.57%	28.97%	28.63%	28.99%	29.80%	
EBIT	673	676	759	908	1,123	
<i>EBIT Margin</i>	16.85%	15.39%	15.43%	16.31%	17.69%	
Effective Tax Rate	22.02%	22.02%	22.02%	22.02%	22.02%	
EBIT*(1-Tax Rate)	524	527	592	708	876	
<i>(Plus)D&A</i>	548	596	649	707	769	
<i>(less)changes in working capital</i>	108	95	93	98	112	
<i>(less)Capex</i>	642	693	749	809	930	
Unlevered Free cash flow of firm	322	335	400	508	604	

Current WACC	5.80%
Present value (5-year CF)	1,802

Share price calculation

<i>Perpetual growth rate</i>	3.00%
Terminal Value	22,239
<i>Implied EV/EBITDA</i>	12
<i>Present value of terminal value</i>	16,780
<i>Present value (5-year CF)</i>	1,802
Enterprise Value	18,582
<i>Total debt</i>	7,100
<i>Cash</i>	865
Net Debt/ Net Cash	6,235
<i>Minority interest</i>	2
Equity Value	12,345
<i>Number of share outstanding</i>	155
indicated per share price (CAD)	79.40

source: Group 2 Analysis

Appendix 3: Dividend Discount Model Methodology

We find the Dividend Discount Model (DDM) to be a highly appropriate methodology for valuing CPX. As a utility, CPX possesses predictable cash flows secured by long-term contracts. For a mature company of this nature, the financial priority shifts from aggressive reinvestment to providing stable cash returns to shareholders via dividends. CPX's clear and consistent dividend history (e.g., 6-7% growth) lends strong credibility to future growth assumptions (such as the forecasted 6.82% Stage 1 and 3.0% perpetual rates), making the DDM the most direct and relevant valuation tool for this type of asset.

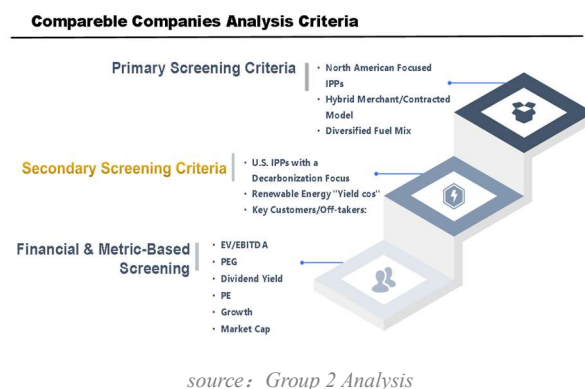
<i>Share price calculation</i>	
<i>Average 10 year Average Growth (stage 1 growth rate)</i>	6.82%
<i>Perpetual growth rate (stage 2 growth rate)</i>	3.00%
Terminal Value	83.60
<i>Present value of terminal value</i>	63.26
<i>Present value (5-year CF)</i>	10.04
indicated per share price (CAD)	73.30

source: Group 2 Analysis

Appendix 4: Comparable Companies Selection Methodology

In order to ensure that the relative valuation we have made can accurately reflect the operational situation and risk characteristics of Capital Power, we have adopted a multi-layer screening framework to identify comparable companies in the North American power generation industry. This screening process is carried out according to three structured levels. They are respectively primary screening, secondary screening, and screening based on financial indicators, just as shown in **Figure 41**.

Figure 41 Comparable Companies Analysis Criteria.



Appendix 5: External Factors (PESTLE Analysis)

Factor	Key Elements	Implication for Industry and Capital Power
Political	• Canadian and U.S. clean energy policies • Carbon tax and emission regulations • Federal and provincial renewable subsidies	Support for renewables but higher compliance costs; Capital Power benefits from incentives but faces carbon pricing on gas plants
Economic	• Interest rate fluctuations • Inflation impacting project costs • Natural gas price volatility • GDP-driven electricity demand	Higher financing costs can pressure margins; stable demand ensures revenue predictability; gas price swings affect thermal profitability
Social	• Growing environmental awareness • ESG-driven investor demand • Community pressure for clean energy projects	Pushes Capital Power to accelerate renewable projects; ESG positioning helps attract capital
Technological	• Advances in wind/solar efficiency • Energy storage and grid modernization • Carbon capture technologies	Opportunities to lower costs and improve capacity; first movers in storage/CCS gain competitive advantage
Legal	• Environmental regulations • Power purchase agreements (PPAs)	PPAs stabilize revenue; stricter emission laws increase transition costs

	•Licensing and compliance requirements	
Environmental	• Climate change and extreme weather • Pressure to decarbonize • Global sustainability commitments	Risk to fossil-based plants; renewables expansion improves long-term competitiveness

source : Group 2 Analysis

Appendix 6: SWOT Analysis

Strengths	Weaknesses
• Diversified energy portfolio (gas, wind, solar) • Stable cash flow from long-term power purchase agreement (PPAs) with utility companies, government and corporations • Strong Canadian market position • Consistent dividend policy	• Significant reliance on natural gas/thermal power • Exposure to carbon pricing and emission costs • Capital-intensive operations with high debt financing • Limited global diversification compared to some peers
Opportunities	Threats
• Expansion into U.S. renewables markets • Carbon capture and storage (CCS) technology adoption • Rising demand for clean and reliable energy • Strategic partnerships with governments and corporates	• Stricter environmental and emission regulations • Rising interest rates increasing financing costs • Volatility in fuel (natural gas) prices • Competition from pure-play renewable companies like Brookfield Renewable and Northland Power.

source : Group 2 Analysis

References

[1] Government of Canada, (December 2024) ‘Powering Canada Forward’, DOI: <https://natural-resources.canada.ca/energy-sources/powering-canada-forward-building-clean-affordable-reliable-electricity-system-every-region-canada>

[2] Capital Power, (2025) ‘Corporate History’, DOI: <https://www.capitalpower.com/who-we-are/corporate-history/>

[3] Capital Power, (July 30, 2025) ‘Q2-2025 Consolidated financial statement’, DOI: <https://www.capitalpower.com/wp-content/uploads/2025/07/Capital-Power-2025-Q2-Report.pdf>

- [4] Capital Power, (2025) Corporate Governance', DOI: <https://www.capitalpower.com/who-we-are/corporate-governance/>
- [5] International Institute for Sustainable Development, (December 11, 2020) 'Unpacking Canada Fossils Fuel Subsidy', DOI: <https://www.iisd.org/articles/unpacking-canadas-fossil-fuel-subsidies-faq#:~:text=In%20short:%20despite%20commitments%20for,ending%20support%20to%20fossil%20fuels.>
- [6] James M. Poterba, Lawrence H. (1988) Summers, Mean reversion in stock prices: Evidence and Implications, *Journal of Financial Economics*, 22(1), Pages 27-59.